Landed Cost Calculation

Pipeline worked example

COURSE	AI Workshop 2.0, Desktop Edition
AUTHOR	Danny McMillan, Seller Sessions
YOU NEED	A Mac or PC and a paid Claude plan

Pipeline worked example

Pipeline Step: 8 of 10 **Category:** Home & Kitchen **Sub-niche:** Bamboo Drawer Organizers
Generated: 28 November 2025

Summary

Landed cost analysis confirms viable margins at the $29.99 price point. With premium materials (15mm bamboo, dovetail joints), estimated landed cost is $12.47 per unit, yielding a gross profit of $8.27 (27.6% margin). This is within acceptable range but requires careful cost management. Deep drawer variant has slightly higher costs but commands premium pricing.

Supplier Research

Overseas Suppliers (Alibaba/1688)

SUPPLIER	MOQ	UNIT PRICE	LOCATION	RATING	YEARS
Fujian Bamboo Co.	500	$4.80	Fujian, China	4.8	8
Zhejiang Greenlife	300	$5.20	Zhejiang, China	4.6	5
Bamboo King Factory	1,000	$4.50	Jiangxi, China	4.7	12
Vietnam Bamboo Corp	500	$5.50	Ho Chi Minh	4.5	4

Notes on suppliers:

- Fujian Bamboo Co. can do 15mm thickness and dovetail joints (+$1.20/unit)
- Bamboo King has lowest price but requires 1,000 MOQ
- Vietnam option avoids China tariffs but higher base cost

Selected supplier for costing: Fujian Bamboo Co.

- Base price: $4.80
- Premium upgrades: +$1.20 (thick bamboo, dovetail)
- **Product cost: $6.00/unit**

US Domestic Suppliers (if applicable)

SUPPLIER	MOQ	UNIT PRICE	LOCATION	NOTES
American Bamboo Works	100	$14.50	Oregon	Premium quality, small batch
EcoBamboo USA	250	$12.80	California	Sustainable certified

Average domestic unit price: $13.65 **Typical MOQ:** 175 units

Domestic assessment: Not viable for competitive pricing. 2.3x cost of overseas.

Cost Breakdown: Overseas Sourcing

Per Unit Cost Calculation

COST COMPONENT	AMOUNT	NOTES
Product Cost	$6.00	FOB price (premium bamboo)
Sea Freight	$1.20	Per unit (based on 500 units, LCL)
Import Duties	$0.48	8% of product value
Customs Brokerage	$0.35	Per unit share ($175 / 500)
Domestic Freight	$0.65	To Amazon warehouse
Amazon FBA Fee	$3.22	Based on size/weight (see below)
Prep & Labeling	$0.25	Per unit prep fee
Buffer (10%)	$0.32	For unexpected costs
TOTAL LANDED COST	**$12.47**	

Shipping Details

METHOD	COST	TRANSIT TIME	RISK LEVEL
Sea Freight (FCL)	$0.85/unit	30-45 days	Low
Sea Freight (LCL)	$1.20/unit	35-50 days	Medium
Air Freight	$3.50/unit	7-10 days	Low
Express (DHL/FedEx)	$8.00/unit	3-5 days	Low

Recommended shipping: Sea Freight (LCL) for first order

- Balances cost and flexibility
- 500 units doesn't fill a full container

- Can upgrade to FCL at scale (1,500+ units)

Cost Breakdown: Domestic Sourcing

Per Unit Cost Calculation

COST COMPONENT	AMOUNT	NOTES
Product Cost	$13.65	From US supplier
Domestic Shipping	$1.20	To Amazon warehouse
Amazon FBA Fee	$3.22	Based on size/weight
Prep & Labeling	$0.15	Per unit (simpler prep)
Buffer (5%)	$0.91	Lower buffer needed
TOTAL LANDED COST	**$19.13**	

Domestic verdict: NOT VIABLE. Would require $35+ price point for 30% margin.

Margin Analysis

At Target Price Point ($29.99)

SOURCING OPTION	LANDED COST	GROSS PROFIT	MARGIN %
Overseas (recommended)	$12.47	$8.27	27.6%
Domestic	$19.13	$1.61	5.4%

Margin Scenarios

SCENARIO	SALE PRICE	LANDED COST	MARGIN %	VERDICT
Optimistic (full price)	$29.99	$12.47	27.6%	OK
Expected (avg discount)	$27.99	$12.47	23.0%	CAUTION
Pessimistic (heavy promo)	$24.99	$12.47	16.5%	WARNING

Margin Requirements

MARGIN LEVEL	STATUS	NOTES
Below 20%	CRITICAL	Do not proceed
20-25%	WARNING	Tight, risky
25-30%	CAUTION	Viable but watch costs
30-40%	OK	Good margin
Above 40%	GREAT	Healthy buffer

Your projected margin: 27.6% at full price - ACCEPTABLE

Important: Heavy discounting drops margin to danger zone. Minimize promotions.

Deep Drawer Variant Costs

COST COMPONENT	STANDARD	DEEP DRAWER	DIFFERENCE
Product Cost	$6.00	$7.20	+$1.20 (20% more material)
Shipping	$1.20	$1.40	+$0.20 (larger)
FBA Fee	$3.22	$3.65	+$0.43 (larger tier)
Landed Cost	$12.47	$14.45	+$1.98
Sale Price	$29.99	$32.99	+$3.00
Margin	27.6%	25.8%	-1.8%

Deep drawer verdict: Slightly lower margin but commands premium. Worth offering.

Break-Even Analysis

Fixed Costs to Recover:

COST	AMOUNT
Samples (5 suppliers)	$350
Photography	$500
Listing creation	$300
Initial inventory (500 units)	$6,235
Shipping to Amazon	$600
Total	**$7,985**

Break-even units: 965 units at $29.99 sale price (27.6% margin) **Break-even revenue:** $28,940

Amazon Fee Details

FBA Fees (Estimated)

FEE TYPE	AMOUNT	CALCULATION
Referral Fee	$4.50	15% of $29.99
FBA Fulfillment	$3.22	Standard size tier
Storage (monthly)	$0.03	$0.87 per cubic foot
Total FBA Fees	**$7.75**	

Size Tier Classification

Product dimensions: 14" x 10" x 3" (expandable collapsed) **Product weight:** 1.8 lbs **Size tier:** Standard Size (Large)

Implications

Recommendation: OVERSEAS SOURCING (Viable)

- 27.6% margin at full price is acceptable
- Must maintain pricing discipline (avoid heavy discounts)
- Deep drawer variant adds portfolio value despite lower margin
- Domestic sourcing is not competitive

Cost Reduction Opportunities (for later):

1. Scale to FCL shipping (saves $0.35/unit at 1,500+ units)
2. Negotiate with supplier at volume ($0.50 reduction at 2,000+ units)
3. Reduce buffer as process matures
4. Potential margin improvement to 30%+ at scale

Links

- Previous: Price Point Analysis
- Next: Cash Flow Check
- Summary: Highlight Summary

Report 08 | Amazon Product Research Pipeline | Module 5